# Promotion & Branding

Unit 1 · 1.3.3.3 Promotion and branding

## What is a brand?

A **brand** is a unique design, sign, symbol, word or combination of these, used to create an image that identifies a product and **differentiates it from competitors**. Branding turns a product into something customers recognise, trust and feel loyal to.

Three main **types of branding**:

- **Corporate branding** — the whole business trades under one name (e.g. Netflix, Apple). Every product shares the firm's reputation, but one scandal can damage everything.
- **Product (individual) branding** — each product has its own identity (e.g. Mars UK: Mars, Snickers, Twix, Galaxy). A problem with one brand needn't harm the others, but marketing each is expensive.
- **Own-label branding** — a retailer sells under its own name (e.g. Carrefour, Tesco). Higher margins and control, but often seen as lower quality than big-name brands.

## Benefits of a strong brand

- **Added value** — customers pay more for a trusted brand than an identical unbranded product.
- **Premium pricing** — the brand justifies a higher price and higher margins.
- **Reduced price elasticity of demand** — loyal customers are less price-sensitive, so prices can rise without losing many sales.
- **Loyalty & repeat purchases** — keeps customers returning and makes it harder for rivals to win them away.

## How to build a brand

Building a strong brand is a **long-term strategy** needing sustained effort over years. Firms combine several methods at once:

- **Differentiation** — a clear USP that sets the brand apart.
- **Advertising** — repeated, consistent messaging to build awareness.
- **Sponsorship** — linking the brand to events, teams or causes (e.g. Emirates and football).
- **Social media** — engaging customers directly and cheaply.

**Rebranding** changes a brand's name, image or identity — used to refresh a tired image or reach a new market. It is risky: it can alienate existing loyal customers if handled badly.

## Promotion & branding and social trends

- **Viral marketing** — using social networks so consumers share a message like a virus. The firm posts the content; customers distribute it **for free**. Huge cheap reach, but little control over how it spreads.
- **Emotional branding** — creating a bond by provoking an emotional response (joy, trust, nostalgia) rather than relying on price. Lasting attachment builds strong loyalty — e.g. Deliveroo's “food happiness” idea, which lifted brand awareness from 3.1% to 6.6%.